business to Greybull Capital. It was a costly hive-off and in view of its huge debts, when the sale was concluded, it was for only £1.

The sale was also a warning to the UK government that if no buyer could be found for the remaining businesses at Port Talbot, Tata Steel would consider closing the plant. The Tata Group maintained that the green taxes involving ‘punitive’ energy costs and cheap Chinese imports were strangulating the British steel industry. With 7,000 jobs at the facility, Prime Minister David Cameron, who had succeeded Brown, looked at ‘all options’, one of which included ‘government support and subsidy, a highly unusual’ position ‘for a Conservative government’.

The BBC said, ‘If Tata’s steelworks had been in Stuttgart or Strasbourg rather than Scunthorpe, they might have enjoyed more direct government support.’ The corporation had good reason to put the blame at the doors of the government as the latter’s ‘apathy’ had made the steel industry suffer a double blow. In the previous seven years, 100 per cent of the increase in the production of global steel had come from China while demand in Europe had dropped by 30 per cent.

This change signalled a new approach. Ratan focused on restructuring, modernizing and making plants efficient to save them and to save jobs. It was the same approach he had adopted to save Tata Steel’s operations in India.

In December 2016, Ratan, as the interim chairman, announced his plan to ‘pump 1 billion pounds into [Tata Steel’s] UK plants over 10 years’. In addition, he assured that there would be no more job cuts for five years and the blast furnaces at Port Talbot, the largest steel plant in the country, would continue to operate at least until 2021.

Another policy decision that Ratan took was not to shut down plants, so as not to cause hardship to their workers and families. Tata Steel would instead sell the businesses. In keeping with this policy, within three months of his taking over as interim chairman of Corus, on 9 February 2017, Tata Steel signed a ‘definitive’ agreement to ‘sell its speciality steels business’ located in northern England for £100 million to Liberty House. It would save around 1,700 jobs.

Tata Steel also held talks with German steelmaker ThyssenKrupp for a possible partnership. An MoU was signed on 20 September 2017 for a 50:50 JV with headquarters in the Netherlands.